

Moving to Xero: The Migration Checklist

What to prepare, what to expect, and what usually goes wrong

WHO THIS IS FOR

Owners on Pastel, Sage, QuickBooks or spreadsheets who are considering the move to Xero.

WHAT IS INSIDE

- A decision test for whether you should move at all
- The full pre-migration data checklist
- A realistic timeline, and what actually causes delays
- The five mistakes we see most often

South Coast Advisory (Pty) Ltd

Suite 3, First Floor, 22 Rosslyn Road, Amanzimtoti, 4125
031 903 4787 · sca-za.com

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First, should you move at all?

Switching accounting systems is disruptive, and it is not always the right call. Be honest with these before going further.

- ☐ Do you wait weeks to find out how the business performed?
- ☐ Is someone still capturing bank statements by hand?
- ☐ Do you and your accountant work from different copies of the data?
- ☐ Do you need to see the books from somewhere other than one office computer?
- ☐ Are you paying for a server or backups purely to run accounting software?

Three or more yeses and Xero will likely pay for itself in time saved alone. If you run complex manufacturing, deep job costing or heavily customised reports, get advice before committing — sometimes the honest answer is to stay where you are.

Choose the conversion date

- The cleanest date is the first day of a new financial year. Everything before it stays in the old system, everything after starts fresh.
- The second cleanest is the first day of a new VAT period, so no VAT return is split across two systems.
- Never convert mid-VAT-period unless you enjoy reconciling two sets of figures for one return.
- Keep the old system accessible, read-only, for at least five years. SARS can ask for the underlying records.

What to prepare before the switch

- ☐ Signed or final annual financial statements for the last completed year
- ☐ A trial balance as at the conversion date
- ☐ Age analysis of debtors at the conversion date
- ☐ Age analysis of creditors at the conversion date
- ☐ Bank statements covering the conversion date
- ☐ Stock valuation, if you carry inventory
- ☐ Fixed asset register with cost, date and accumulated depreciation
- ☐ VAT return for the last completed period, with its reconciliation
- ☐ Employee master data if payroll is moving at the same time
- ☐ Your customer and supplier lists, cleaned of duplicates and dead accounts

The clean-up is the real work. Converting a messy ledger produces a messy Xero file, and then everyone blames the software.

Design the chart of accounts around your business

The single biggest missed opportunity in a migration is copying the old chart of accounts across unchanged. This is the one moment where restructuring costs nothing.

- Split income by the lines you actually make decisions about, not by whatever was set up years ago.
- Separate direct costs from overheads properly, so gross margin means something month to month.
- Collapse accounts nobody has looked at in three years.
- Use tracking categories for branch, division or job instead of creating duplicate account codes.

Connecting the plumbing

- ☐ Apply for bank feeds early — the bank's approval is usually the longest wait in the whole project
- ☐ Confirm which accounts feed automatically and which need statement imports
- ☐ Set up your VAT settings to match your SARS category and registration date
- ☐ Connect payroll (South African payroll runs in an integrated system, not in Xero itself)
- ☐ Connect payment services if you want customers to pay invoices online
- ☐ Load your invoice template with your real logo, banking details and terms
- ☐ Set user access: who may approve payments, who may only capture
- ☐ Turn on two-step authentication for every user, without exception

A realistic timeline

STAGE	TYPICAL TIME	WHAT DRIVES IT
Review and decision	2 to 5 days	How quickly you can supply the last trial balance
Data preparation and clean-up	3 to 10 days	The state of the existing ledger
Conversion and balancing	2 to 5 days	Complexity, stock, multi-currency
Bank feeds live	3 to 15 days	The bank, not you or us
Training	Half a day, then support	How many people capture data

A straightforward small business is usually working entirely in Xero within two to three weeks of starting.

The five mistakes we see most

- Converting without reconciling the opening balances to the last signed statements. Every later difference becomes impossible to trace.
- Bringing across years of transaction history that nobody will ever open, which slows the file and adds cost.

- Copying the old chart of accounts unchanged and losing the one chance to fix the reporting.
- Leaving the old system live, so two people capture the same invoice in two places.
- Skipping the training and then concluding the software is difficult.

Would you rather not do this yourself?

We have kept books, filed returns and run payrolls from Amanzimtoti since 1980. Twenty minutes on the phone costs nothing and usually saves something.

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This document is general information about South African accounting and tax practice. It is not advice for your particular circumstances, and rules change — usually with the annual Budget. Confirm anything you intend to rely on.